



India Metals

EQUITY: METALS & MINING

China coking coal disruption

Emerging steel raw material risk if Chinese demand shifts offshore

Safety-led supply disruptions in China could tighten global steelmaking raw material balances

We believe China's deadliest coal mine accident since 2009 ([link](#)) on 24 May creates an incremental risk for steel markets, not because of the direct mine disruptions, but because of the regulatory response now underway. While the direct mine capacity is small (~1.2MT), **broadener shutdowns are more meaningful, with ~109 Shanxi mines reportedly suspended, impacting ~319kt/day (~116MT annualised) (Fig. 2)**. While we believe China can offset part of the disrupted supply via inland imports, primarily Mongolia/Russia, however, if the incremental demand shifts to Australian seaborne premium hard coking coal, global coking coal prices could rebase higher, creating near-term margin pressure for import-dependent steelmakers, including Indian integrated players.

The significance lies in the regulatory response, not the direct production loss

The Liushenyu mine accident in Shanxi on 24 May, operated by Shanxi Tongzhou Coal Coking Group (Not listed), triggered an aggressive safety review across Chinese coal operations. The direct production loss is immaterial in the context of China's ~5.0BT annual coal output ([Fig. 1](#)). However, **Shanxi accounts for ~25% of China's total coal production and a materially larger share of domestic coking coal supply (>20%) (Fig. 2)**, making broader shutdowns far more important. While current reported disruptions imply ~319kt/day of impacted output, we believe **Shanxi coking coal production could decline 10–15% in the near-term**. The immediate market reaction reflects this risk, with Chinese coking coal futures moving -up (~8%) ([Fig. 8](#)), suggesting the market is pricing in a broader tightening in domestic steelmaking raw material availability rather than an isolated operational event.

China's import substitution capacity will determine whether met coal prices move materially higher

China's first mitigation lever is **Mongolia, now its largest external coking coal supplier (Fig. 4)** and the most economically efficient substitute given the proximity and lower logistics costs. However, substitution is unlikely to be frictionless. Border crossing capacity, trucking throughput, and rail evacuation remain bottlenecks, while product quality mismatch limits full replacement of premium hard coking coal used in blast furnace blends. **Russia offers incremental optionality, but limited flexibility in premium-grade supply**. If disruptions remain short-lived (<1 week), domestic inventories plus Mongolian imports should absorb the shock. If **inspections persist for two–four weeks, China may need seaborne replacement tonnes, with Australia the most likely marginal supplier**. Given the tighter nature of seaborne coking coal markets vs. iron ore, even ~2–3mt/month of incremental Chinese demand could push coking coal prices materially higher.

Indian steel margins could face near-term pressure if seaborne benchmark coking coal rises

For Indian steelmakers, the primary transmission mechanism is imported coking coal costs. As a directional sensitivity, every US\$10/t increase in coking coal can create ~US\$7–9/t EBITDA impact for integrated steelmakers, depending on inventory cover and coal blend assumptions. **Among our coverage, JSW Steel and Tata Steel India would be the most exposed (Fig. 5), with partial impact on JSPL** depending on procurement mix. Near-term earnings risk depends on inventory positions, but if Chinese buyers begin sourcing Australian tonnes aggressively, replacement procurement costs could reprice quickly. With domestic steel spreads showing signs of easing ([Fig. 10](#)), this would be

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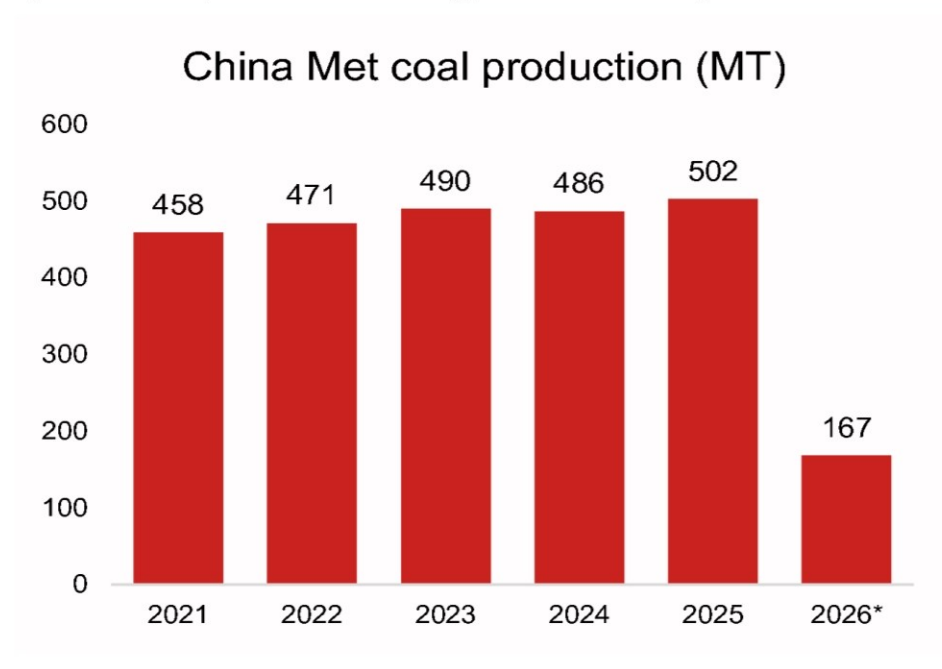
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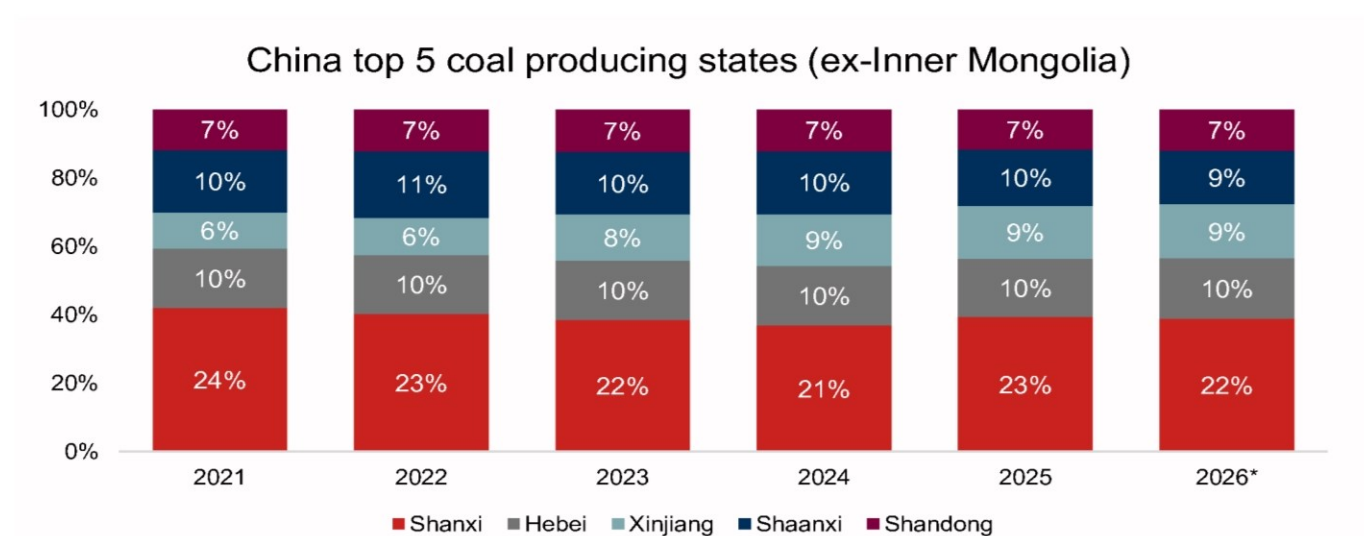
incrementally negative for near-term margin expectations unless offset by stronger steel pricing, in our view.

We maintain our Buy recommendation on Tata Steel (TATA IN), JSW Steel (JSTL IN), Jindal Steel (JINDALST IN) and Lloyds Metals (LLOYDSME IN).

Fig. 1: China coal production run -rate suggests ~500MT of coal production in CY26

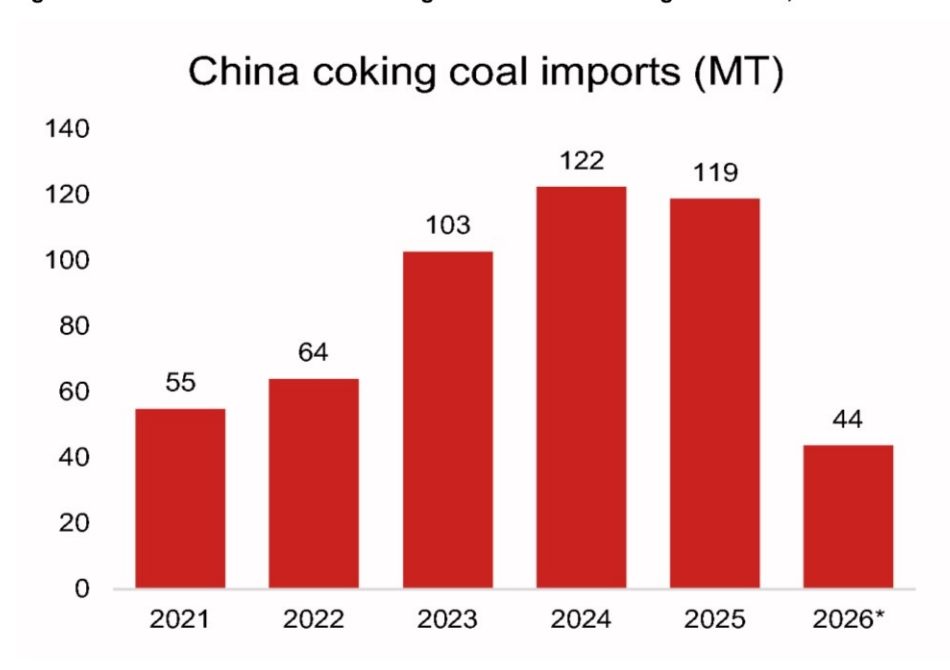
Note: *till April 2026

Source: Bigmint, Nomura research

Fig. 2: Shanxi is the biggest coal producing province in China; it accounts for ~25% of total coal and >20% of met coal

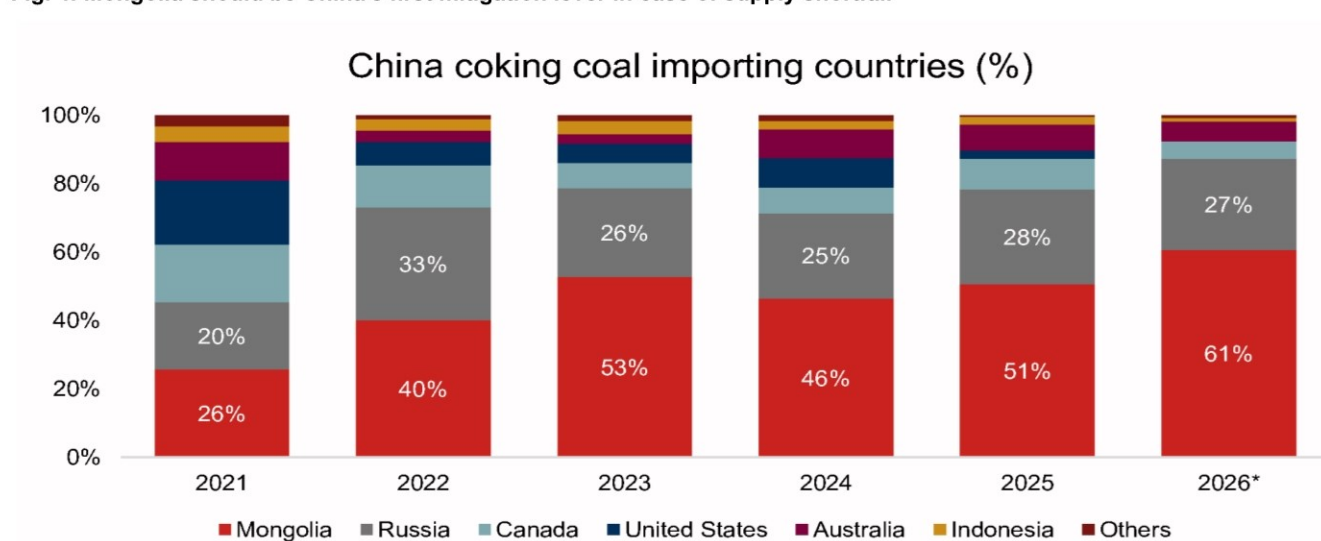
Note: *till April 2026

Source: Bigmint, Nomura research

Fig. 3: China accounts for ~20-25% of global seaborne coking coal trade, in our view

Note: *till April 2026

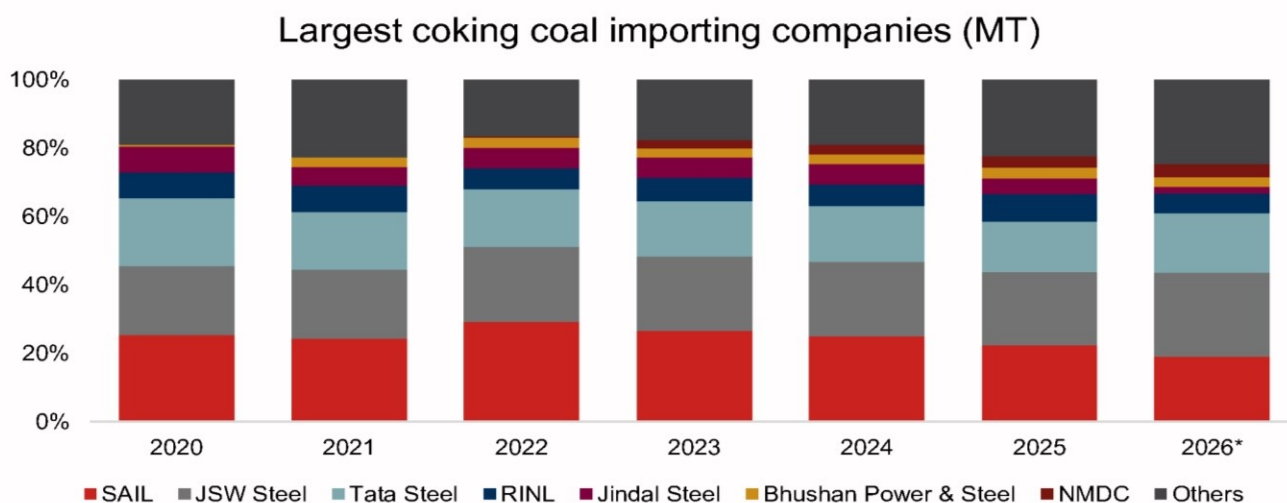
Source: Bigmint, Nomura research

Fig. 4: Mongolia should be China's first mitigation lever in case of supply shortfall

Note: *till April 2026

Source: Bigmint, Nomura research

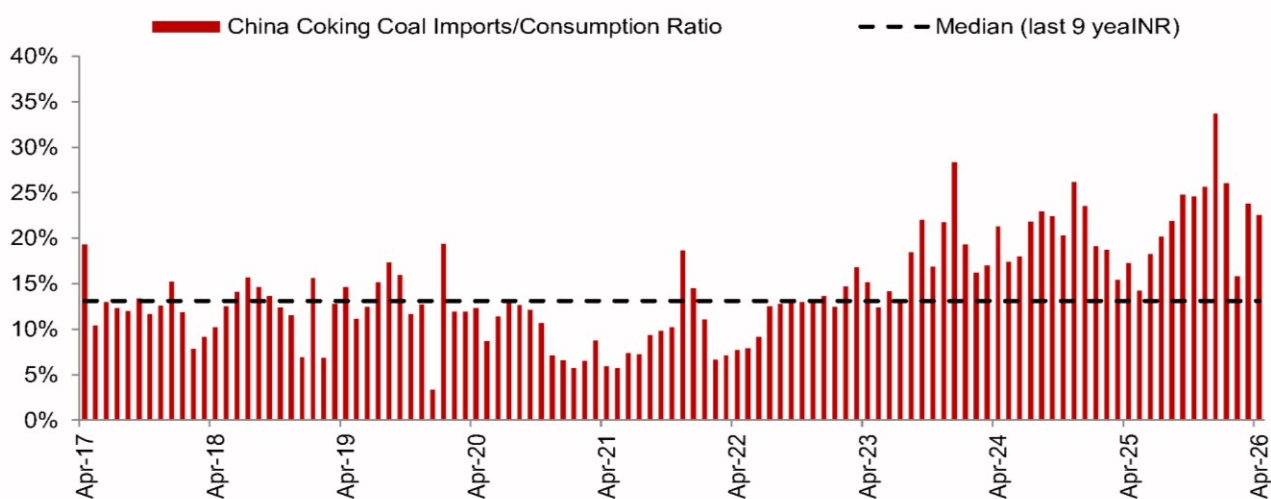
Fig. 5: JSW Steel has the highest exposure to imported coking coal among our coverage, followed by Tata Steel; Jindal Steel appears better placed



Note: *till April 2026

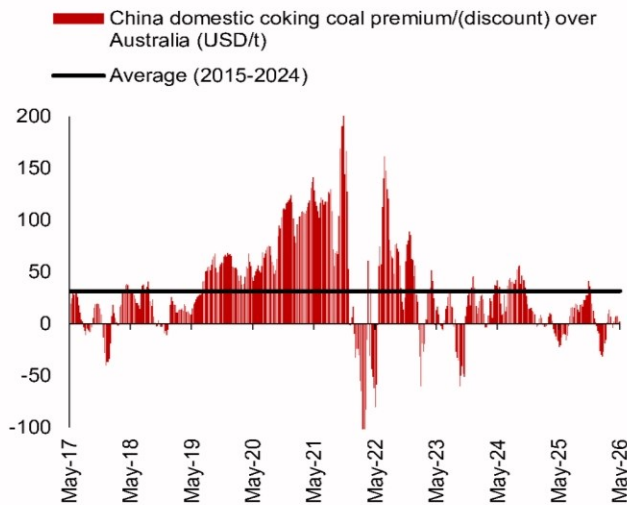
Source: Bigmint, Nomura research

Fig. 6: China's coking coal imports have increased significantly as a % of consumption; any domestic supply gap can lead to increased global prices



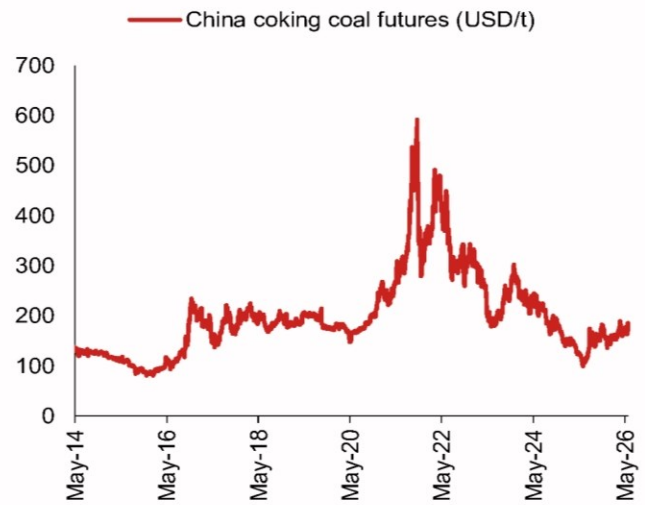
Source: Bloomberg Finance LP, Nomura research

Fig. 7: The gap between Australian and Chinese coking coal has narrowed due to the pick in the latter's prices



Source: Bloomberg Finance LP, Nomura research

Fig. 8: Chinese coking coal futures reacted immediately, moving 8% post the news



Source: Bloomberg Finance LP, Nomura research

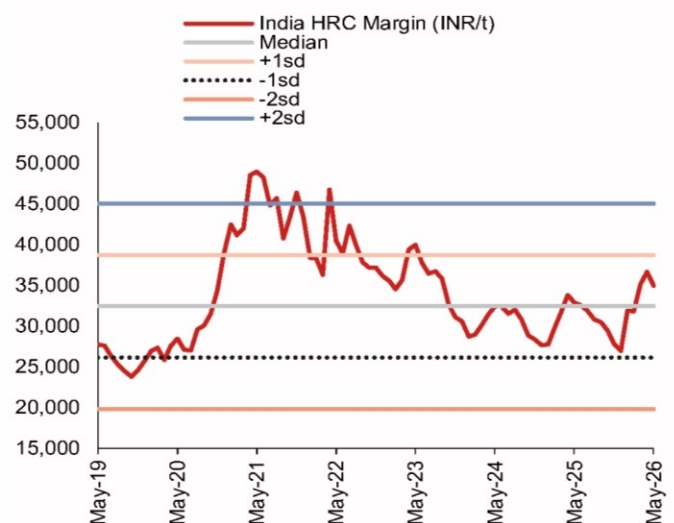
Fig. 9: China export HRC margins levels recovered recently due to higher realization but remain below median levels



Note: Margins calculated using Australia iron ore and China domestic coking coal prices

Source: Bloomberg Finance LP, Nomura research

Fig. 10: Indian margins have moderated recently as HRC prices ease, but remain at healthy levels



Note: Margins calculated using domestic iron ore and Australia coking coal prices

Source: Bloomberg Finance LP, Nomura research

Appendix A-1

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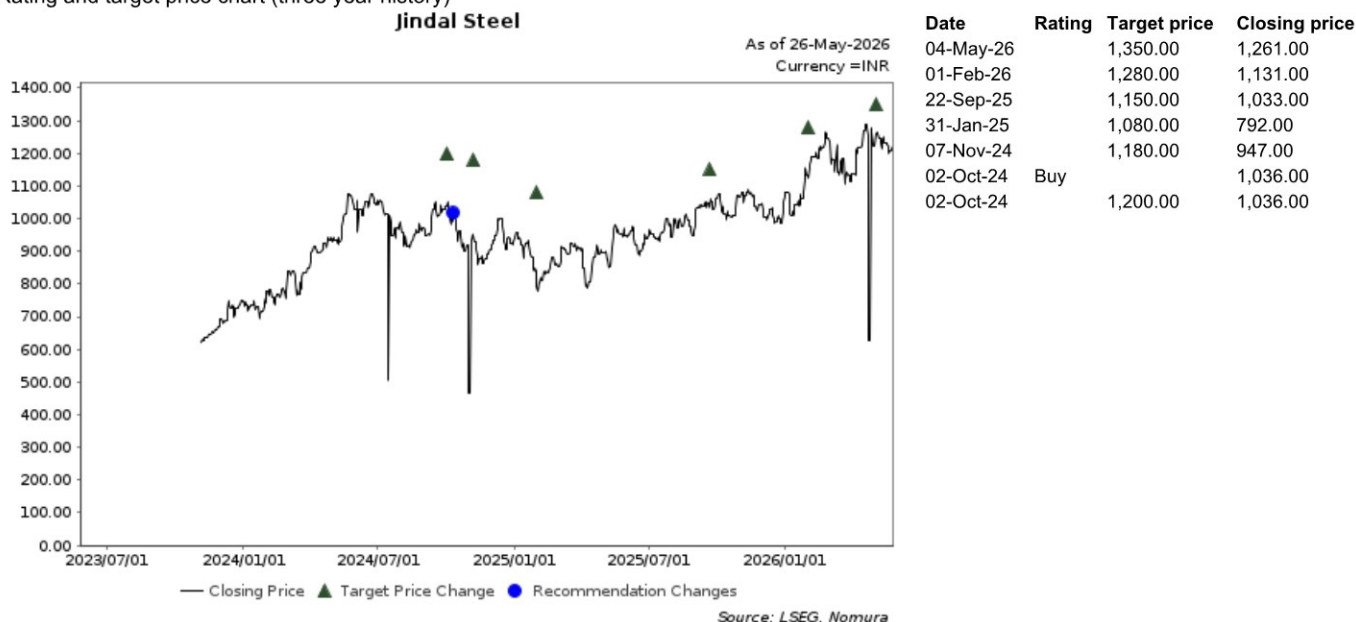
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Jindal Steel	JINDALST IN	INR 1,223	26-May-2026	Buy	N/A	
JSW Steel	JSTL IN	INR 1,294	26-May-2026	Buy	N/A	
Lloyds Metals and Energy	LLOYDSME IN	INR 1,854	26-May-2026	Buy	N/A	
Tata Steel	TATA IN	INR 210	26-May-2026	Buy	N/A	

Jindal Steel (JINDALST IN)

INR 1,223 (26-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

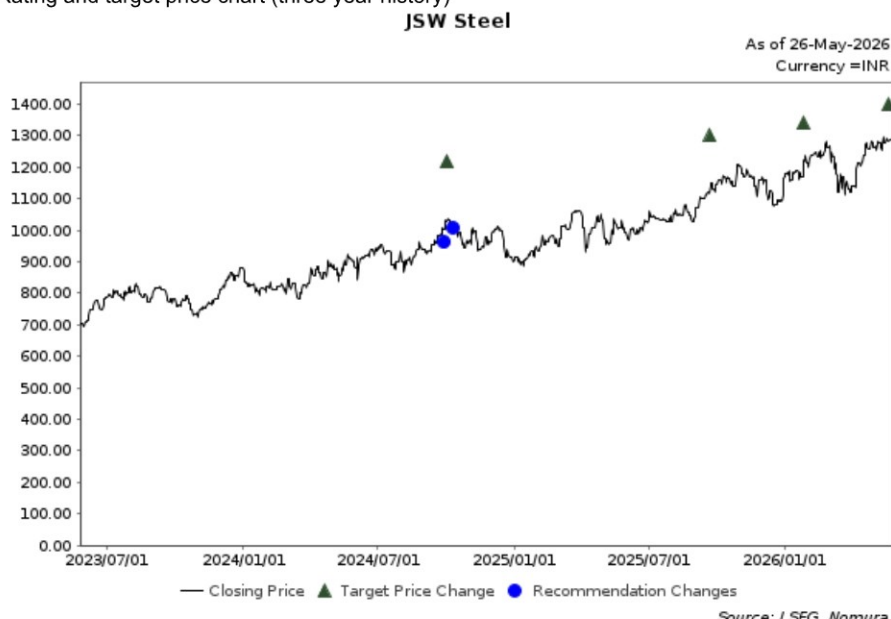
Valuation Methodology We arrive at TP of Rs1,350 by applying slightly higher than mid-cycle one-year-forward EV/EBITDA of 8.0x on new steady-state EBITDA in June-28F. The benchmark for this stock is NIFTY50

Risks that may impede the achievement of the target price 1. Lower spreads - If Chinese HRC margins fail to recover or if the net exports from China increase, it would result in continued pressure on export HRC prices. In such a case, domestic HRC prices will remain under pressure due to lower import parity prices leading to lower spreads/margins. 2. Delays in expansion & cost overruns - This would result in lower than expected volume from FY26F onwards. Delay in commissioning might also result in capex cost overrun resulting in lower than earlier expected ROCE 3. Domestic demand disruptions - If the domestic demand grows lower than expected or lower than the capacity addition, it would result in lower domestic HRC margins and higher dependance on exports. In such a case, the margins will be lower than expected

JSW Steel (JSTL IN)

INR 1,294 (26-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
21-May-26		1,400.00	1,281.00
26-Jan-26		1,340.00	1,170.00
22-Sep-25		1,300.00	1,117.00
02-Oct-24	Buy		1,027.00
02-Oct-24		1,220.00	1,027.00
20-Sep-24	Not Rated		982.00

For explanation of ratings refer to the stock rating keys located after chart(s)

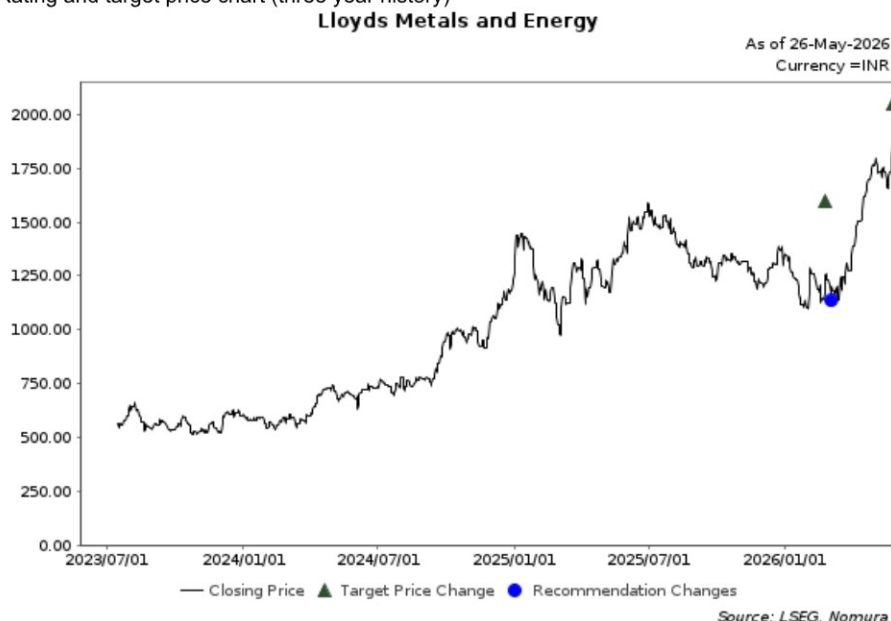
Valuation Methodology We arrive at TP of INR1,400 by applying slightly higher than mid-cycle one-year forward EV/EBITDA of 8.1x on new steady-state EBITDA in Jun'28. The benchmark for this stock is NIFTY50

Risks that may impede the achievement of the target price 1. Lower spreads - If Chinese HRC margins fail to recover or if the net exports from China increase, it would result in continued pressure on export HRC prices. In such a case, domestic HRC prices will remain under pressure due to lower import parity prices leading to lower spreads/margins. 2. Delays in Dolvi commissioning - This would result in lower than expected volume from FY28F onwards. Delay in commissioning might also result in capex cost overrun resulting in lower than earlier expected ROCE 3. Domestic demand disruptions - If the domestic demand grows lower than expected or lower than the capacity addition, it would result in lower domestic HRC margins and higher dependence on exports. In such a case, the margins will be lower than expected

Lloyds Metals and Energy (LLOYDSME IN)

INR 1,854 (26-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
26-May-26		2,050.00	1,854.00
24-Feb-26	Buy		1,164.00
24-Feb-26		1,600.00	1,164.00

For explanation of ratings refer to the stock rating keys located after chart(s)

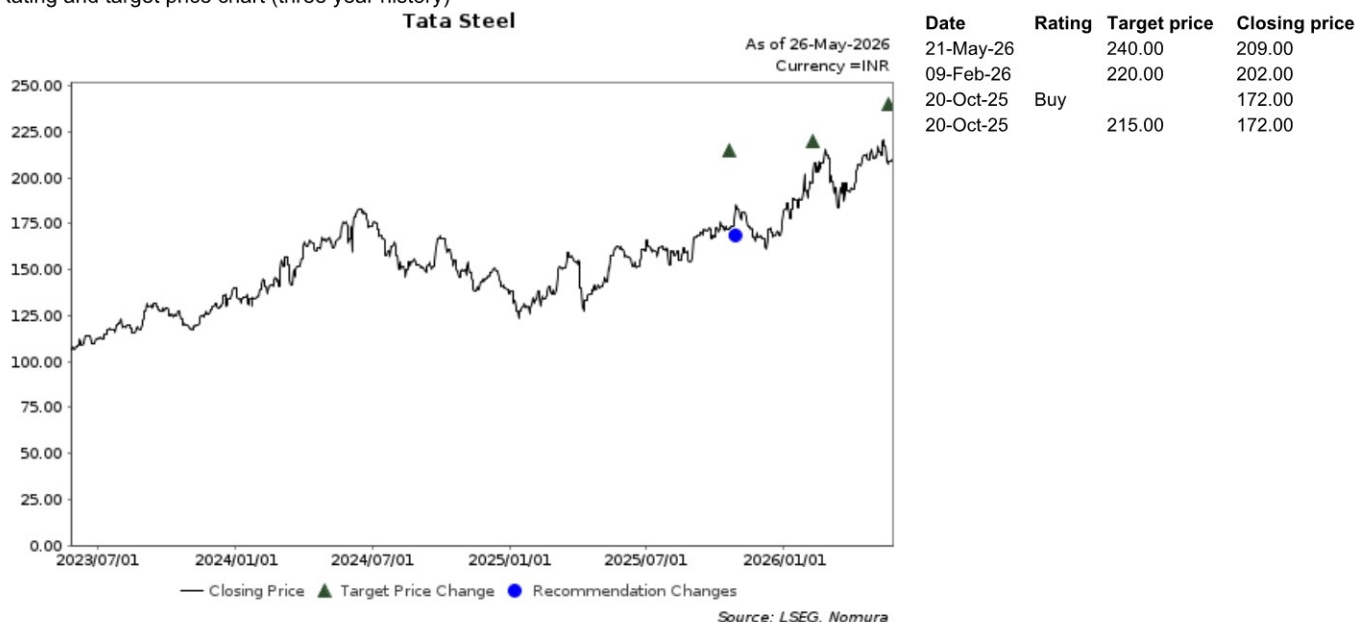
Valuation Methodology We arrive at SOTP-based TP of INR2,050 by applying a target EV/EBITDA of 8.4x on new steady-state EBITDA in Jun'28. The benchmark for this stock is NIFTY50

Risks that may impede the achievement of the target price Risks: (1) a delay in steel capacity; (2) political unrest in the Democratic Republic of the Congo affecting the copper business; (3) BHQ beneficiation not yielding the same results as seen in the pilot project; and (4) resurfacing of Naxal activities.

Tata Steel (TATA IN)

INR 210 (26-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We arrive at TP of INR240 by applying slightly higher than mid-cycle one-year forward EV/EBITDA multiple of 7.7x on new steady-state EBITDA in June'28. The benchmark for this stock is NIFTY50

Risks that may impede the achievement of the target price Delays in subsidiary's expansion, weaker-than-expected demand growth, lower spreads, increased regulatory scrutiny on European operations and sustained elevation in iron ore prices beyond FY30F.

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As at 31 March 2026.

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